

VIPSHOP HOLDINGS LTD VIPS

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by

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2026 2027

Price:	12.31	EPS	0	0
Shares Out. (in M):	5	P/E	0	0
Market Cap (in \$M):	5,900	P/FCF	0	0
Net Debt (in \$M):	-3,200	EBIT	0	0
TEV (in \$M):	2,700	TEV/EBIT	0	0

Description

Summary

VIPS is another Chinese ADR where the balance sheet and shareholder return make the risk/reward fairly interesting. At \$12.31, market cap is \$5.9B vs. \$3.2B net cash, before giving any credit to the outlet properties actively converted into REIT stakes at very accretive multiples. The company generated \$1.1B trailing FCF and returned \$944m to shareholders in 2025. The concern is fairly obvious — Chinese consumption is weak, ecommerce competition is relentless, and revenue has gone nowhere. I think the core business is considerably more durable than the stock suggests at 3x EV/FCF, and continued buyback at this valuation should do much of the work.

Background:

VIPS is the Chinese online version of TJX/ROST selling discounted branded merchandise, mostly apparel. It also has a growing offline outlet mall business. Admittedly, VIPS's core biz is nowhere as good as TJX/ROST, as there is cutthroat competition in all of retail in China, with the bear case being that PDD/Douyin gradually take these customers away. My view is that there is still a real niche for consumers who want familiar brands at a discount, with some confidence in authenticity and service. Indeed, VIPS has been focusing on its core customer base (think white-collar women living in Tier 3-4 cities), with active paid members growing from 7.6m in 2023 to 8.8m in 2024 and 9.8m in 2025, even as the overall customer base was roughly flat last year. SVIPs spend multiples of non-SVIPs and account for nearly half of revenue and probably majority of the profits.

While not growing much, the core business is quite asset light and FCF generative. Most unsold inventory can be returned to suppliers. Vip.com spent only RMB590m on capex in 2025 vs. RMB101B revenue, with brick-n-mortar outlets accounted for RMB1.47B of the group's RMB2.07B capex. Group FCF was positive in each of the last five years despite that spending.

RMB B except ADSs	2021	2022	2023	2024	2025	2026E	2027E
Revenue	117.06	103.15	112.86	108.42	105.92	103.37	104.38
EBIT	5.58	6.20	9.10	9.17	8.14	7.66	7.91
Net income	4.68	6.30	8.12	7.74	7.24	9.11	6.70
FCF	3.08	7.83	9.29	5.62	5.35	6.50	7.00
Diluted ADSs (m, avg.)	693.7	640.8	562.8	539.3	511.9	486.0	455.0

As seen from the table above, I am not assuming much of a recovery. Consensus has 2027 revenue below 2024 and EBIT still 14% below that year. Core Vip.com EBIT did decline 14% in 2025 and could be down another 10% this year, so this is hardly immune to the macro. But with a rapidly shrinking share count, even fairly pedestrian operating results can produce a decent per-share outcome.

Robust B/S

At June end, cash and short-term investments were RMB32.9B vs. RMB11.0B borrowings, or \$3.2B net cash / \$6.8 per ADS, over half the market cap. In addition, the company has been monetizing its 19 outlet assets at very accretive multiples. Over the last year, VIPs listed two separate Chinese commercial REITs including 3 outlet assets at 20x earnings, getting a large chunk of cash and retaining 49%/50% of the REITs. I would not extrapolate the best outlets' valuation to every property (the first three are the most profitable/mature assets), but the remaining properties are all profitable and scaling nicely, including double digit SSS in 1H '26. Even using a discounted multiple would render nearly \$2B of value.

Capital Allocation

VIPS's shareholder return track record is arguably the best in China. Top holders are the two founders with 19% and 11.5% and Tencent 13.4% collectively owning nearly half of the company. The company has publicly committed to returning at least 75% of non-GAAP earnings, while routinely exceeding that promise. VIPS returned \$944m in 2025, equivalent to 16% of today's market cap. The \$0.62 dividend alone is a 5% yield. Average diluted ADSs declined 26% between 2021 and 2025, so the buyback is real. In a way, this is a slow MBO. Indeed, the buyback math gets super interesting if the stock stays depressed. Below is a theoretical exercise if the company continues to buy back for the next 3 years, and valuation gets pretty silly after 2028.

VIPS

2026 nongaap NI	8700
in usd	\$1,050
% shareholder return	80%
div+buyback	\$840
div \$	\$300
buyback	\$540
share price	\$13.0
# shares bought	41.5
as % shares	8.4%
# FDS ADS	492.7
Current mkt cap	\$6,405
Net cash	\$3,300
EV	\$3,105
EV/NI	2.5x
Investments	\$1,208

End of 2028	In 3 years
# FDS ADS	368.1
mkt cap	\$4,785
Net cash	\$4,515

EV \$270

Risk

The main risk is that the core really is a much quicker melting ice cube than I expect. Still, at this price I think the balance sheet and actual shareholder return provide a reasonable margin of safety.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst**Catalyst**

Continued buyback/dividend. Further outlet monetization. Stabilization of the core business.

Messages

Subject

Qs

Entry

09/21/2026 04:03 AM

Member

Cries

2 quick screening Qs:

- is there any weird working capital/FCF thing going on here like at PDD?

- thoughts on management? obviously love to see the buybacks.

ive never looked at this one and have zero context, but seems interesting